

Multiple Choice

1. **Answer:** A

Options: A) Capital, commodities, and currency; B) raw materials, human resources and technology; C) natural resources, artificial resources and human resources; D) Water, oil, and minerals; E) Intellectual property, workforce, and real estate

Note: Correct option: A - Capital, commodities, and currency

2. **Answer:** A

Options: A) tariffs protecting domestic jobs are eliminated.; B) the literacy rate improves.; C) the tax rate is lowered.; D) the inflation rate decreases.; E) there is an increase in technological advancements.

Note: Correct option: A - tariffs protecting domestic jobs are eliminated.

3. **Answer:** A

Options: A) The Antitrust Improvement Act; B) The Federal Trade Commission Act; C) The Clayton Act; D) The Sherman Act; E) The Fair Trade Act

Note: Correct option: A - The Antitrust Improvement Act

4. **Answer:** D

Options: A) Capitalism results in single authority; B) Capitalism ensures job security; C) Capitalism fosters cultural diversity; D) Capitalism promotes personal freedom; E) Capitalism encourages moral responsibility

Note: Correct option: D - Capitalism promotes personal freedom

5. **Answer:** A

Options: A) stabilizes the value of currency over time.; B) has no impact on purchasing power.; C) increases the real value of debt.; D) encourages households to save more.; E) forces households to save more.

Note: Correct option: A - stabilizes the value of currency over time.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'there is no predictable change in the industry.'

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'the demand curve for the output produced by labor'.

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'raise interest rates which would encourage saving and therefore increase spending.'

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** Product differentiation defines monopolistic competition and gives each firm some control over price.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** It adds an element of built-in stability to an economy.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key